Syllabus Edition
First teaching 2025
First exams 2027

Not your syllabus?

Place

Exam code: 0450, 0986 & 0264, 0774

Download PDF

Written by: Lisa Eades
Reviewed by: Steve Vorster
Updated on 27 August 2025

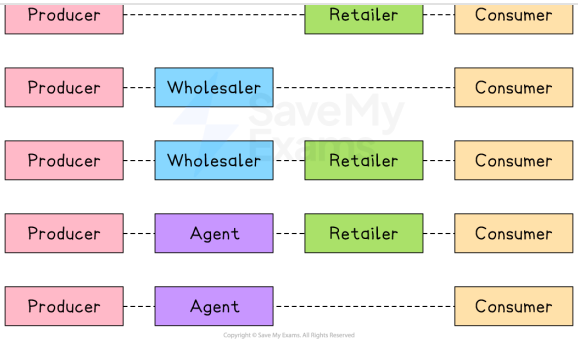
Introduction to place

- **Place in the marketing mix refers to where customers purchase a business's products and the distribution channels used to move the product from producer to consumer**
- In a competitive environment, location and distribution decisions can give a company a **competitive advantage**
  - Businesses could locate themselves in areas with **high foot traffic** to achieve high sales volumes
  - They may use **online channels** to reach customers who prefer to shop from the comfort of their own home
- **Changing consumer needs can impact the way businesses distribute their products**
  - **E-commerce** makes it easier for consumers to **shop online** and have products delivered to their doorstep
    - Many businesses have therefore invested in their online presence, offering **convenience and fast delivery** to meet customer needs

Distribution channels

- **Distribution channels refer to the intermediaries through which products move from the business to the end customer**

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it



Distribution channels could involve retailers, wholesalers and agents

Help me understand

1. Direct to customers

- The business sells its products **straight to the customer** without using any intermediaries
  - For example, a bakery sells bread directly to customers at a local market or in its own store

Advantages	Disadvantages
• The business has full control over the customer experience and pricing • Higher profit margins as there is no middlemen with whom the producer has to share profits	• It can be expensive and time-consuming to manage sales and delivery • It is hard to reach a wide audience without extra investment

Through retailers

- The business sells its products to a retailer, who then sells them to final customers.
  - For example, a clothing brand like Levi's sells its jeans through department stores like Farmers in New Zealand

Advantages	Disadvantages
• Retailers already have access to lots of customers • It saves the producer time and resources on selling and distribution	• Retailers take a share of the profits • The producer has less control over pricing, display and customer service

Through wholesalers

- The business sells large quantities to a wholesaler, who then sells smaller amounts to retailers or customers
  - For example, soft drinks businesses like PepsiCo sell to wholesalers who supply small convenience stores

• Wholesalers buy in bulk, so the producer sells high volumes quickly • It reduces storage and transport responsibilities for the producer	• Lower profit margins are achieved due to bulk discounts • The producer has less control over how the product is promoted or sold to retailers

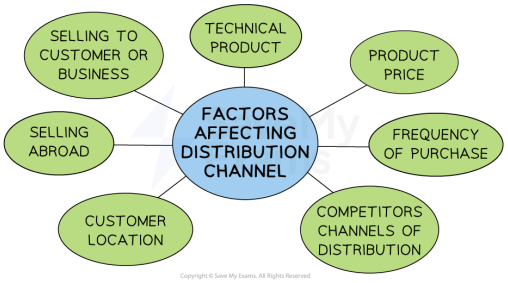
Through agents

- An agent acts as a specialist middleman who helps sell the product, often in another country or market, earning a commission
- Agents can negotiate with retailers or individual customers
  - For example, a wine producer in South Africa using an export agent to sell wines in Europe

Advantages	Disadvantages
• Agents are useful for entering foreign or unfamiliar markets • It reduces the need for in-house sales teams	• Agents take a commission, reducing profits • The producer has less direct contact with customers, so it may be harder to build brand loyalty

Recommending a suitable distribution channel

- The **choice of distribution channel chosen by a business** depends on a variety of factors
- The following questions are worth considering when **establishing** a distribution channel
  - Do consumers want to speak to a salesperson?
  - Will customers want to handle the product before they make a purchase?
  - Would they prefer to purchase it online?
  - Does the product require special handling, such as protective packaging or quick delivery?



Getting the distribution channel right will increase sales revenue and profit

1. Type of product

- If sold to producers of other goods, distribution is likely to be direct or via a specialist wholesaler
  - For example, **JCB** sells excavators directly to construction companies
  - Specialist wholesalers such as France's **Bricoman** sell consumable building supplies such as nuts, bolts and cement to builders

2. Frequency of purchase

- If the product is bought on a daily basis, retail stores provide convenience for consumers
  - For example, **Milka** chocolate is sold in most EU-based supermarkets

3. The price of the product

- If the products is an expensive luxury good, it would be best sold through a few specialist outlets
  - For example, **Rolex** watches are sold in high-end jewellery stores

4. The durability of the product

- Perishable product like fruit and vegetables are distributed through retailers, sometimes via wholesalers, to be sold quickly

5. Proximity of customers

- If customers are located over the world, e-commerce is likely to be a suitable distribution channel

6. Competitors distribution channels

- Products need to be sold where competitors are selling so that a business can compete effectively
  - For example, **Nestlé** cereals are sold alongside **Kelloggs** cereals in a wide range of retail outlets

7. Technical specifications

- If technical information needs to be passed to the customer, direct selling or a retailer is usually preferred
  - For example, **Apple Store** staff provide focused advice to customers purchasing its range of phones, computers and entertainment devices

Examiner Tips and Tricks

Don't just name distribution channels – in exams, you must **explain why a channel is suitable** for the product, considering factors like cost, speed, and customer reach. The case study below demonstrates this.

Case Study

Choosing the Right Distribution Channel for PureFlame

PureFlame is a small business that makes high-quality, eco-friendly candles using natural ingredients

So far, it has sold products at local events and to friends and family, but now the owner, Priya, wants to expand and reach more customers in other regions

Priya is considering three main distribution channels

Channel	Advantages	Disadvantages
Selling through the PureFlame website	• Gives Priya full control over pricing, product presentation and customer service	• Requires time and money to manage orders, shipping and customer support
Using an online marketplace like Etsy or Amazon	• Reaches large numbers of customers that can help PureFlame grow quickly	• Charges fees and includes many similar products, making it harder to stand out
Supplying gift shops and eco-friendly retailers	• Helps introduce the brand to new customers and builds trust through established retailers	• Retailers take a share of profits and PureFlame has less control over product display and pricing

Recommendation

- Priya should start with an **online marketplace like Etsy**
  - It offers a wide customer base without the upfront costs of creating a website or the need to negotiate with retailers
- Once PureFlame becomes more established, she can build her own website and explore retail partnerships to grow further

New! Exclusive Teacher-Only Questions

- Fresh, expert-written questions
- Students can't access them
- Fair accurate tests - built fast

Explore in Test Builder

Test yourself

Flashcards

Was this revision note helpful? Yes No

Previous

Next

Course

Study tools

All topics

Resources

Learning Hub

Scholarship

Join

Past Papers

Solution Banks

Sitemap

Company

About us

Exam Specificity

Content Quality

Promotions

Jobs

Terms

Privacy

Cookie Policy

Dashboard

Overview

Brand ambassador

Profile

Subscription

Settings

Log out

Subjects

Biology

Chemistry

Physics

Maths

Geography

English Literature

Psychology

All Subjects

© Copyright 2015–2026 Save My Exams Ltd. All Rights Reserved.

Neither IBO nor College Board were involved in the production of, and do not endorse, the resources created by Save My Exams.